Infosys
Valuation Report in Simple Words

What is one Infosys share worth? A step-by-step explanation without difficult jargon.

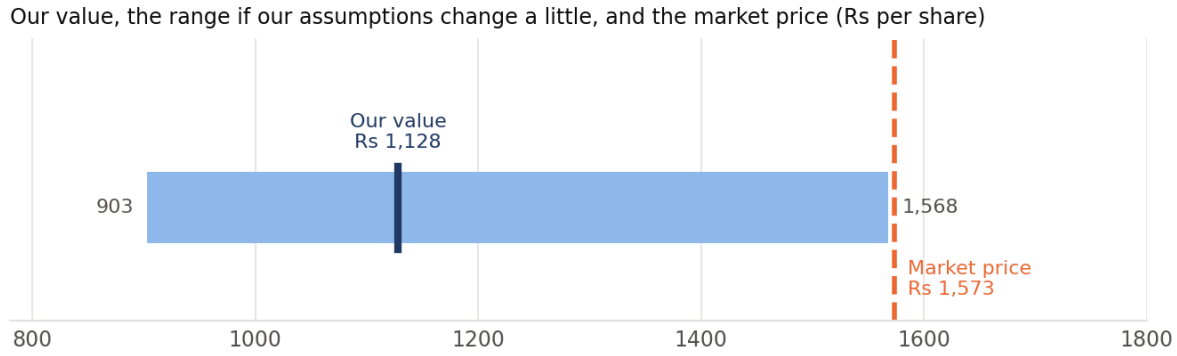
Based on Infosys annual reports FY2023-24 and FY2024-25 | Value as on 31 March 2025 | Companion Excel: Infosys_Simple_Model.xlsx

The result in one box	
Value of one Infosys share (our estimate)	**Rs 1,128**
Market price on 31 March 2025	Rs 1,573
Market price compared with our value	39% higher
Range if we change our assumptions a little	Rs 903 to Rs 1,568
Return we expect from the investment (discount rate)	11.7%
Growth we assume forever after year 5	5.5%

Amounts are in Indian rupees. 1 crore = 10 million. 1 lakh crore = 1 trillion (Rs 1,00,000 crore). This report is for learning and interview practice. It is not advice to buy or sell shares.

1. The answer in simple words

Our estimate: one Infosys share is worth about Rs 1,128.
On 31 March 2025 the share was trading at about Rs 1,573. That is about 39% **higher** than our estimate. In other words, by our calculation the share looked **expensive**, not cheap.



Why is the market price higher than our value?

- **Investors may expect faster growth.** We assume sales grow about 4.5% in FY26 and then about 7-8% a year. If investors expect 9-10% a year, the value becomes higher.
- **Investors may accept a lower return.** We ask for a return of 11.7% a year. Many investors will accept less from a safe company like Infosys (no debt, lots of cash, steady dividends).
- **Safety has a price.** Infosys has no loans, earns more cash than profit and pays regular dividends. People often pay extra for that comfort.

What would make us agree with the market price?

In the table in section 8, the value reaches about Rs 1,568 if we ask for a return of about 10.7% (instead of 11.7%) **and** assume growth of 6.5% forever (instead of 5.5%). So the market price is not crazy; it just needs more optimistic assumptions than ours.

Five points to remember

- Infosys had Rs 47,996 crore in cash and investments in FY25, and **no loans**.
- Profit has been steady: sales and profit grew every year, and the operating margin stayed around 21% (21.1%, 20.7%, 21.1% in FY23, FY24, FY25).
- Infosys needs very little money for machines and buildings (about 1.4% of sales), so most of its profit turns into cash.
- About 76% of our value comes from the years after FY30, so growth and the return we ask for matter a lot.
- Our value is an **estimate**. Change the assumptions and the answer changes. The table in section 8 shows by how much.

2. About Infosys

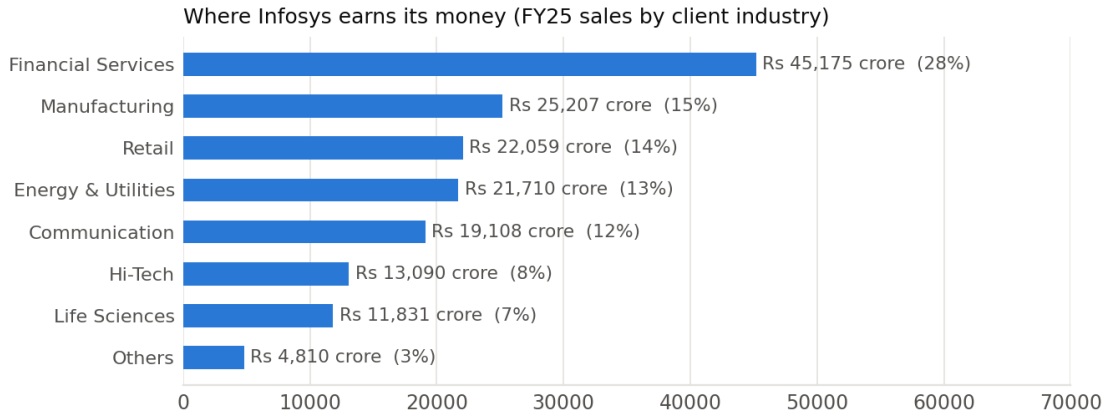
Infosys is one of India's biggest software services companies. It was started in 1981 and its head office is in Bengaluru. It works for companies in 59 countries. Large businesses (banks, shops, telecom firms, factories) pay Infosys to build and run their computer systems, move them to the cloud, handle their data and use artificial intelligence.

How does Infosys make money?

Infosys has thousands of engineers. Clients pay for their time or for a finished project. So Infosys earns more when it has more clients, more work per client, or can charge higher rates. Its biggest cost is the salary of its people (about half of every rupee of sales).

Infosys in numbers (FY25)

	FY23	FY24	FY25
Sales (Rs crore)	146,767	153,670	162,990
Sales in US dollars (million)	18,212	18,562	19,277
Profit after tax (Rs crore)	24,108	26,248	26,750
Operating margin (profit from business as % of sales)	21.1%	20.7%	21.1%
Cash and investments (Rs crore)	31,651	39,409	47,996
Number of employees	n.a.	317,240	323,578



By country: about 58% of sales come from North America, 30% from Europe, 9% from the rest of the world and 3% from India. No single client gives more than 10% of sales.

Who owns Infosys?

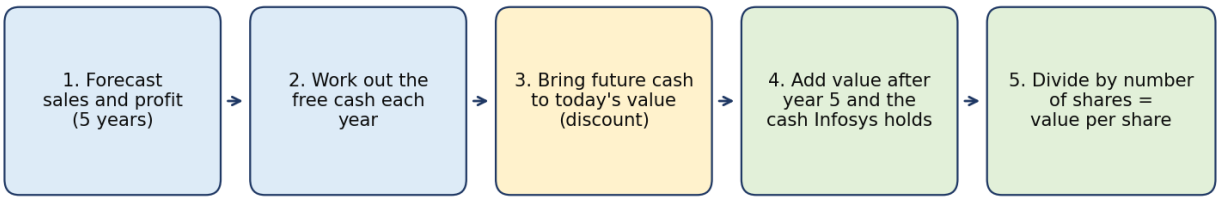
The founders and their families own roughly 15% of the shares. The rest is owned by large investors and the public. The company has no loans. It plans to return about 85% of its free cash to shareholders over five years through dividends and share buybacks.

3. What problem are we solving?

Question: What is one Infosys share really worth as on 31 March 2025, and is the market price of about Rs 1,573 fair? To answer it we need three things:

- a forecast of what Infosys will earn in the next 5 years,
- a way to turn those future earnings into one value today, and
- a check on how much the answer changes if we are a little wrong.

How the valuation works: 5 simple steps



This method is called a **DCF** (Discounted Cash Flow). The idea is simple: **a company is worth the cash it will give its owners in the future, adjusted to today's money.**

Why future money is "discounted"

Rs 100 today is worth more than Rs 100 next year, because today's money can be invested to earn a return. If we expect a return of about 12% a year, then Rs 100 received one year from now is only worth about Rs 90 today. Money received in 5 years is worth even less today (about Rs 58). We do this for every future year and add everything up.

Words you will see in this report

Word	Simple meaning
Sales (Revenue)	Total money Infosys earns from clients
EBITDA	Profit from the business before depreciation, interest and tax
Operating profit (EBIT)	Profit from the business after depreciation, before tax. Operating margin = this divided by sales
Free cash flow (FCFF)	Cash left after paying tax, running costs, new equipment and lease rent. This is what can be given to owners
Discount rate (WACC)	The yearly return we demand. Used to bring future cash to today's value. Here it is almost the same as the return shareholders expect, because Infosys has almost no loans
Terminal value	Value of all the cash Infosys earns after year 5, assuming it keeps growing slowly forever
Enterprise value (EV)	Value of the whole business (before adding the cash it holds)
Equity value	Value that belongs to shareholders = EV + cash - debts and minority share
Beta	How much the share price moves compared with the whole market. Below 1 = calmer than the market

4. How Infosys did in the last 3 years

Rs crore	FY23	FY24	FY25
Sales	**146,767**	**153,670**	**162,990**
Growth over previous year		4.7%	6.1%
EBITDA	35,130	36,425	39,236
EBITDA margin	23.9%	23.7%	24.1%
Operating profit (EBIT)	30,905	31,747	34,424
Operating margin	21.1%	20.7%	21.1%
Profit before tax	33,322	35,988	37,608
Profit after tax	**24,108**	**26,248**	**26,750**
Earnings per share (Rs)	57.63	63.39	64.50
Cash from operations	22,467	25,210	35,694
Free cash flow (cash from operations - capex)	**19,888**	**23,009**	**33,457**
Dividends paid	13,631	14,692	20,287
Cash and investments	31,651	39,409	47,996

What this tells us

- **Steady, not fast.** Sales grew 4.7% in FY24 and 6.1% in FY25. Part of this is the weaker rupee: in US dollars sales grew only about 2% and 4%.
- **Margins are stable.** The operating margin stayed close to 21% for three years.
- **Lots of cash.** FY25 free cash flow was Rs 33,457 crore, more than the profit of Rs 26,750 crore. This was helped by tax refunds, so we do not expect it to repeat fully.
- **Profit grew only about 2% in FY25** because other income (interest on cash) fell and tax went up to 28.9%.

5. What we assume for the next 5 years

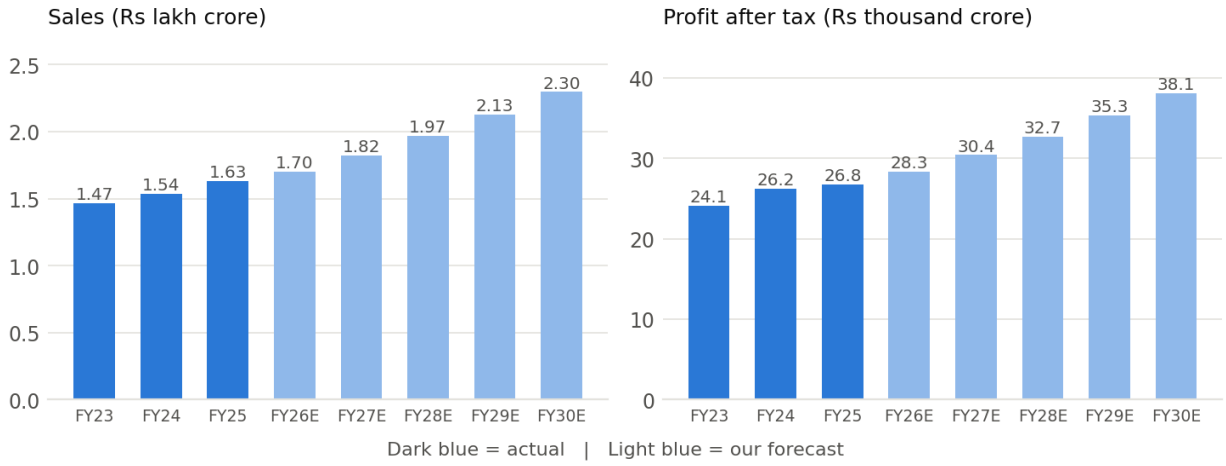
We keep the assumptions simple. Most costs are kept at the average share of sales seen in the last 3 years. The only things we choose ourselves are shown in the first rows (yellow cells in the Excel).

What we assume	FY26E	FY27E	FY28E	FY29E	FY30E
Sales growth (our choice)	4.5%	7.0%	8.0%	8.0%	8.0%
People cost as % of sales	53.3%	53.3%	53.1%	53.2%	53.2%
Software and third-party cost as % of sales	8.7%	9.1%	9.2%	9.0%	9.1%
Sub-contractor cost as % of sales	8.5%	8.1%	8.2%	8.3%	8.2%
Tax rate	27.9%	27.9%	28.2%	28.0%	28.1%
Capex as % of sales	1.5%	1.4%	1.4%	1.5%	1.5%
Dividend as % of profit (our choice)	70.0%	70.0%	70.0%	70.0%	70.0%
Operating margin (result)	**21.2%**	**21.2%**	**21.5%**	**21.5%**	**21.6%**

Why these numbers?

- **Sales growth: 4.5% in FY26, then 7-8%.** Infosys itself guided for only 0-3% growth in US dollars for FY26 (announced April 2025). We add about 2% for the weaker rupee. After that we assume the technology spending of clients recovers.
- **Costs: average of the last 3 years.** This is the same method used in the Britannia model you shared. It keeps the operating margin near 21%, which is what Infosys has delivered for years.
- **Capex is tiny.** Infosys is an office-based business. It spends only about 1.4% of sales on computers, buildings and software.
- **Tax 28%.** This is close to what Infosys actually paid in the last 3 years (27-29%).
- **Dividends 70% of profit.** Infosys pays out most of its profit. We assume no share buyback, so cash keeps building up.

6. What our forecast shows



Rs crore	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Sales	**162,990**	**170,325**	**182,247**	**196,827**	**212,573**	**229,579**
Growth	6.1%	4.5%	7.0%	8.0%	8.0%	8.0%
EBITDA	39,236	40,714	43,545	47,153	50,843	54,921
Operating profit (EBIT)	34,424	36,025	38,675	42,298	45,803	49,677
Operating margin	21.1%	21.2%	21.2%	21.5%	21.5%	21.6%
Profit after tax	**26,750**	**28,320**	**30,422**	**32,704**	**35,341**	**38,110**
Earnings per share (Rs)	64.50	68.33	73.40	78.90	85.27	91.96
Cash from operations	35,694	29,305	29,266	32,896	35,024	37,631
Free cash flow	33,457	26,715	26,638	30,052	31,901	34,298
Dividends paid	20,287	19,809	21,278	22,874	24,722	26,659
Cash in the bank	24,455	32,870	39,816	48,248	56,531	65,143
Total equity (net worth)	96,203	104,714	113,858	123,689	134,308	145,759

- Sales grow from Rs 162,990 crore to about Rs 229,579 crore by FY30 (about 7.1% a year).
- Profit after tax grows from Rs 26,750 crore to about Rs 38,110 crore.
- Cash in the bank grows from Rs 24,455 crore to about Rs 65,143 crore because Infosys earns more than it pays out.
- The balance sheet balances in every year, and the cash flow statement matches the cash on the balance sheet. The Excel has checks for this.

7. The valuation, step by step

Step 1: Free cash flow each year

Free cash flow = profit from the business after tax + depreciation - money spent on equipment - extra money tied up in work - lease rent. This is the cash that is really free to give to owners.

Rs crore	FY26E	FY27E	FY28E	FY29E	FY30E
Operating profit (EBIT)	36,025	38,675	42,298	45,803	49,677
Tax rate	27.9%	27.9%	28.2%	28.0%	28.1%
Profit after tax on business (NOPAT)	25,988	27,872	30,360	32,975	35,741
+ Depreciation	4,689	4,870	4,856	5,041	5,244
- Capex	-2,590	-2,628	-2,844	-3,123	-3,333
+/- Change in working money	-471	-2,488	-1,398	-2,071	-2,430
- Lease rent paid	-2,162	-2,408	-2,501	-2,703	-2,879
Free cash flow	**25,454**	**25,219**	**28,473**	**30,118**	**32,343**
Discount factor	0.896	0.802	0.718	0.643	0.576
Value today (free cash x discount factor)	**22,796**	**20,228**	**20,453**	**19,377**	**18,635**

Step 2: The return we ask for (discount rate)

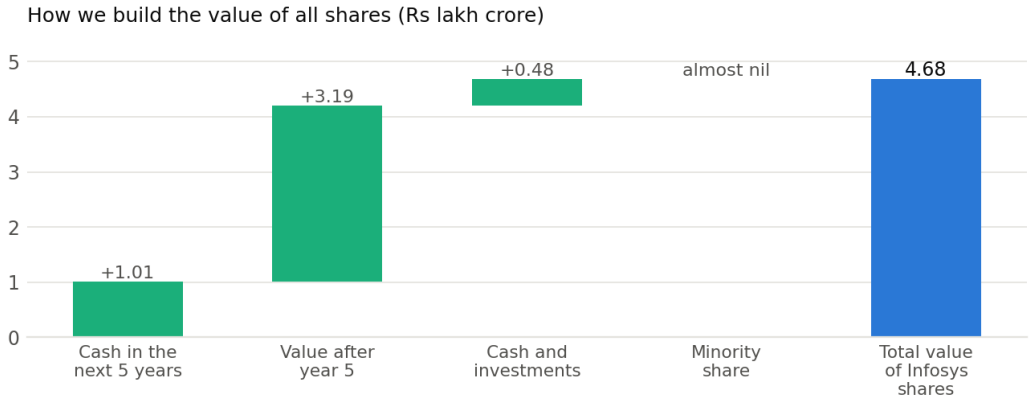
Part	Value	Where it comes from
Risk-free return	6.81%	What the Indian government pays on 10-year bonds (March 2025)
Beta	0.90	Infosys moves a bit less than the market
Extra return for investing in shares	5.50%	Market return 12.31% minus risk-free 6.81%
Return shareholders expect	11.76%	6.81% + 0.90 x 5.50%
Weight of shares vs lease debt	98.8% : 1.2%	Infosys has no loans, only office leases
Discount rate used	**11.66%**	**Almost the same as the return shareholders expect**

Step 3: Value after year 5 (terminal value)

We cannot forecast forever, so after FY30 we assume free cash flow grows at 5.5% a year for ever. That is close to about 4% growth in dollars plus about 1.5% from a slowly weakening rupee. The value of all that future cash, brought to today, is Rs 319,274 crore. This is 76% of the total, which is why this assumption matters so much.

Step 4: From business value to value per share

	Rs crore
Value today of free cash for the next 5 years (FY26-FY30)	101,489
Value today of cash after year 5 (terminal value)	319,274
Value of the whole business (Enterprise value)	**420,764**
+ Cash and investments held by Infosys	47,996
- Loans (none)	0
- Share of minority owners in subsidiaries	385
Value belonging to Infosys shareholders (Equity value)	**468,375**
Number of shares (crore)	415.2
Value of one share (Rs)	**1,128**
Market price (Rs)	1,573
Market price is higher/lower than our value	39% higher



Quick cross-checks. Our value means Infosys business is worth about 10.3 times its FY26 EBITDA and about 16.5 times its FY26 earnings. The market price implies about 14.9 times EBITDA and 23.0 times earnings.

8. How sure are we? (what if we are a little wrong)

Nobody can predict the future exactly. So we change two important assumptions a little and see what happens to the value per share. **Rows** = the return we ask for (discount rate). **Columns** = growth after year 5.

Return we ask \ growth after yr 5	4.5%	5.0%	5.5%	6.0%	6.5%
10.66%	1,162	1,237	1,326	1,434	1,568
11.16%	1,083	1,145	1,218	1,306	1,412
11.66%	1,014	1,067	1,128	1,200	1,286
12.16%	955	1,000	1,051	1,111	1,182
12.66%	903	941	986	1,036	1,095

Boxed value = our main estimate (Rs 1,128). Green cells = value is about the same as the market price (Rs 1,573) or higher.

What the table tells us

- If we are a bit more pessimistic (return 12.7%, growth 4.5%), the value falls to about Rs 903.
- If we are a bit more optimistic (return 10.7%, growth 6.5%), the value rises to about Rs 1,568, close to the market price.
- **Small changes matter.** A 1 percentage point change in the return we ask for changes the value by roughly Rs 100-200 per share.
- So the honest message is not 'the share is worth exactly Rs 1,128'. It is: **'on reasonable assumptions the share is worth roughly Rs 1,000 to Rs 1,300, and the market price needs more optimistic assumptions.'**

Other things to know

- After our valuation date, Infosys reported its FY26 results (April 2026). Press reports say sales were about Rs 1,78,650 crore (up 9.6%) and profit about Rs 29,440 crore. Our forecast for FY26 was sales of Rs 170,325 crore and profit Rs 28,320 crore. The gap is mostly because the rupee became weaker than we assumed. We did **not** use these results in the model. These figures come from news reports and should be checked against the company's own filing.
- The detailed model (Infosys_DCF_Model.xlsx) has Bear, Base and Bull scenarios and gives Rs 1,047 / Rs 1,286 / Rs 1,506 per share. It uses a slightly more detailed method, so its Base value differs a little from this simple model.

9. Things that can go wrong

- **Clients spend less.** If big clients cut technology budgets (for example because of a US slowdown), Infosys grows slower than we assume.
- **Artificial intelligence.** AI can create new work, but it can also let clients do the same job with fewer people, which can pull down prices.
- **Salaries rise faster than prices.** People cost is about half of sales. If wages grow faster than what Infosys can charge, margins fall.
- **The rupee gets stronger.** Infosys earns mostly in dollars. A stronger rupee reduces its sales and profit in rupees.
- **Our assumptions may be wrong.** The return we ask for, growth after year 5, and the 5-year growth path are all judgements. The table in section 8 shows how much the answer moves.
- **Things we left out.** We assume no acquisitions and no share buybacks. We also did not provide for tax or legal disputes that Infosys mentions in its notes.

Limits of this study

- The simple model has one case only (no Bear/Bull switch). For scenarios, use the detailed model.
- The market price (Rs 1,573) is worked out from the company's reported market value of Rs 6,52,332 crore divided by the number of shares. It is not an exact closing price.
- Beta (0.90) and the market return (12.31%) are our judgement. Published betas for Infosys range from about 0.6 to 0.95.

10. Interview questions, answered in simple words

Q. What is a DCF?

A DCF values a company by adding up all the cash it will produce in the future, after converting that future cash into today's money. Cash that comes later is worth less, so we reduce it using a discount rate.

Q. Why do you use free cash flow and not profit?

Profit is an accounting number. Free cash flow is the real cash left after tax, equipment spending and lease rent. Owners can only be paid from cash.

Q. How did you forecast Infosys's sales?

I started from the last 3 years. For FY26 I assumed 4.5% growth (the company guided 0-3% in dollars, plus a weaker rupee). Then 7-8% a year as clients spend more. Costs are kept at the 3-year average share of sales, so the margin stays near 21%.

Q. How did you get the discount rate?

I used the CAPM method: risk-free return 6.81% + beta 0.90 x extra market return 5.5% = 11.76% for shareholders. Infosys has almost no debt (only office leases), so the discount rate is 11.66%, almost the same.

Q. What is terminal value and why 5.5% growth?

We cannot forecast forever, so after year 5 we assume cash grows at a steady rate. I used 5.5%: about 4% growth in dollars plus about 1.5% from a slowly weaker rupee. It is lower than India's overall economic growth. Terminal value is 76% of the total value, so I show a table with other values.

Q. Your value is lower than the market price. Why?

The market price (Rs 1,573) assumes faster growth or a lower return than I used. In my table, a return of about 10.7% and growth of 6.5% gives about Rs 1,568. Investors also pay extra for Infosys's safety: no debt, high cash and regular dividends.

Q. How did you treat the cash Infosys holds?

I added Rs 47,996 crore of cash and investments to the business value. I did not count the interest on that cash as part of business cash flow, otherwise the cash would be counted twice.

Q. How did you treat leases (office rent contracts)?

I treated lease payments as a normal running cost and deducted them from free cash flow. So I did not count lease liabilities as debt. This keeps the method simple and avoids counting leases twice.

Q. Which assumptions matter most?

The discount rate and the growth after year 5 (together about three-quarters of the value), then the sales growth for the next 5 years and the operating margin.

Q. How do you know your model is correct?

The Excel checks that the balance sheet balances in every year and that the cash flow statement matches the balance-sheet cash. Past numbers are copied from the annual reports. The middle of the sensitivity table matches the main answer.

Q. What would you do next to improve it?

Add Bear and Bull cases (the detailed model has these), compare with other IT companies like TCS and HCL Tech using their market multiples, and model dollars and rupees separately.

11. How to use the Excel file

The Excel file Infosys_Simple_Model.xlsx follows the same layout as the Britannia model you shared. Each sheet has one job:

Sheet	What it shows
Dashboard	One-page summary: company details, forecast table, value per share, charts
Company Overview	Ratios: margins, returns, days of receivables, cash position, and so on
Assumptions	All forecast assumptions in one place. Yellow cells with blue numbers are the ones you can change
Income Statement	Sales to profit for FY23-FY30, plus a table showing each cost as % of sales
Balance Sheet	What Infosys owns and owes. The last row checks that it balances
CFS	Cash flow statement: where cash comes from and where it goes. The last rows check it matches the balance sheet
Valuation	The DCF: free cash flow, discount rate, terminal value, value per share, and the sensitivity table

Colour code

- **Blue numbers** = copied from the annual reports (past years) or typed by us as an assumption.
- **Black numbers** = formulas. **Green numbers** = pulled from another sheet.
- **Yellow background** = forecast years.

Where the numbers come from

- Past financial statements: Infosys Integrated Annual Report 2024-25 (FY25 and FY24) and 2023-24 (FY23). We used the consolidated statements only.
- Market capitalisation on 31 March 2025 (Rs 6,52,332 crore): Infosys annual report. Risk-free return (6.81%): India 10-year government bond yield on 31 March 2025.
- FY26 guidance and FY26 results: public company announcements and press reports (not in the annual report; please verify).

Try it yourself

Go to the Assumptions sheet and change the sales growth in the yellow cells (for example from 7% to 9%). Then look at the Valuation sheet: the value per share changes automatically. You can also change the beta or the long-term growth rate on the Valuation sheet.